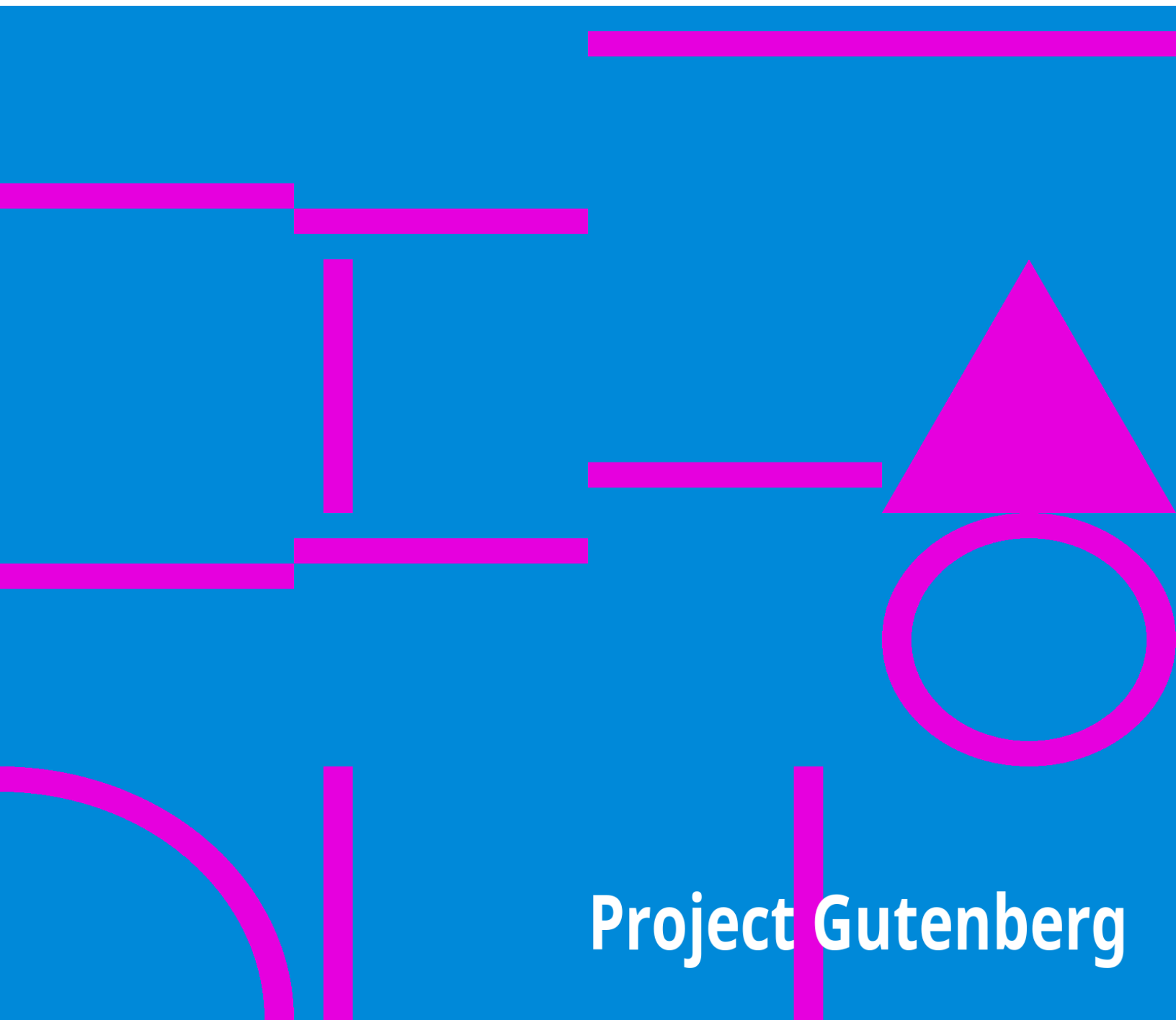


Free Trade with India

active 1813 Common sense

The background of the lower half of the image is a solid blue color. Overlaid on this are several abstract geometric shapes in a bright magenta color. These include a horizontal line near the top, a vertical line on the left, a horizontal line in the middle, a large triangle on the right, a circle below the triangle, and a curved line in the bottom left corner.

Project Gutenberg

Free Trade with India

active 1813 Common sense

Project Gutenberg

The Project Gutenberg eBook of Free Trade with India

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg License included with this eBook or online at www.gutenberg.org. If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

Title: Free Trade with India

Author: active 1813 Common sense

Release date: August 1, 2011 [eBook #36939]

Most recently updated: January 7, 2021

Language: English

Other information and formats: www.gutenberg.org/ebooks/36939

Credits: Produced by David E. Brown and The Online Distributed Proofreading Team at <https://www.pgdp.net> (This file was produced from images generously made available by The Internet Archive)

*** START OF THE PROJECT GUTENBERG EBOOK FREE TRADE
WITH INDIA ***

THIRD EDITION.

Free Trade with India.

AN ENQUIRY

INTO

THE TRUE STATE

OF

THE QUESTION AT ISSUE

BETWEEN

HIS MAJESTY'S MINISTERS,

THE HONORABLE

THE EAST INDIA COMPANY,

AND

THE PUBLIC AT LARGE,

ON

THE JUSTICE AND POLICY

OF

A FREE TRADE TO INDIA.

By COMMON SENSE.

LONDON:

SOLD BY MESSRS. SHERWOOD, NEELY & JONES, PATERNOSTER-
ROW.

1813.

[Price One Shilling.]

Printed by W. Glendinning, 25, Hatton Garden.

PREFACE

TO THE

SECOND EDITION.

The first edition of the following view of the question of *a Free Trade* to India having been sold off in the space of two days, is a proof of the interest the public take in the question of a Free Trade; my aim has been to clear the subject of all extraneous matter, and present it in a plain and perspicuous manner to my readers, I have neither addressed myself to their prejudices nor their passions, but have endeavoured by a simple chain of reasoning to come at the truth, which is my single object, for being totally unconnected with Government, the East India Company, or mercantile concerns, I can have no motive for disguising it. Soon after the publication of the first edition on the 23d instant, I received the following letter, which will perhaps be more acceptable than any thing further from me by way of preface.

Tavistock Place, Jan. 25, 1813.

DEAR SIR,

I have read your Common Sense, which is good sense, and so intelligible that he who runs may read, and he who reads can scarcely fail to understand.

I wish you had treated the subject of monopolies more copiously, and informed your readers that in the early ages of commerce monopolies were so extended, and the principle so abused, that they could not fail to become obnoxious to all, and tradition has made the name hateful ever since.

The kings of France, particularly Louis XIV. to raise money sold *maitrices*, as they were called, or a sort of privilege for exercising certain trades, and he at the same time limited the number, this practice, together with the former monopolies not abolished, created a general wish for *Freedom of Trade* in France.^[A] The sect of economists were composed of republican philosophers, who proclaimed the grand advantages to be derived from the entire Freedom of Trade, nor was it then foreseen that under that pretext they were seeking *Liberty and Equality*, which but a few years after deluged France with the blood of her best sons, and had nearly ruined the world.

You mention Adam Smith, he was the disciple and admirer of the economists; in a word he was what we denominate a democrat. As to entire Freedom of Trade, who that ever thought on the subject could dream of it. The corn laws, all bounties and drawbacks, the regulation even of weights and measures, the assay of silver and gold, the interest of money, &c. &c. &c. are directly in opposition to it, and prove the economists were wrong. When the French revolution broke out, excepting in weights and measures, every restraint was done away, but instead of things improving thereby they grew visibly worse. A short history of monopolies would be a very useful work, as it would clear up many mistakes concerning them.

If Adam Smith were now alive he would probably have changed many of his opinions, for he was a good, and honest, as well as an able man, but he

was deceived, not being initiated in the ulterior mysteries of M. Turgot and his associates.

I am your's, &c.

FREE TRADE WITH INDIA.

&c. &c.

The questions that have arisen of late respecting the East India Company, or rather *the Commerce with India*, for that is the stake and nothing less, are undoubtedly of great and serious importance. To enter into all the ramifications of the subject would require volumes, the mere bulk of which would startle most readers, and prevent their going into the question, and induce them to take up with the opinions of one, who appearing to have bestowed labour and attention on the subject, shapes his results in the manner best suited to his purpose. This mode of proceeding almost as old as the creation, and which will continue as long as any man pays a deference to the judgment of another, is the grand engine of designing men to bias the minds of the million who "hate the labour of a serious thought," a specious appellation is enough for the million to form a decision upon. I could instance many of these senseless war-whoops from "*Liberty and Equality*" to "*a Free Trade*,"^[B] were it necessary, or at all to the point.

This mode, however, is only objectionable in the hands of sinister persons, for where the question at issue like the present, is very intricate, some such mode must be had recourse to, in order to simplify the question; I have therefore always considered that to take a popular view of a subject, some great leading points must be seized, and from these our judgment should be formed. This, if not the most accurate, is at least the best mode, where what is called public feeling is to be consulted.

To study the interests of Great Britain and of British merchants with regard to the trade with India; to combine those with the territorial possessions and the interests of the country at large; to investigate also not only what would be the immediate consequences of a sudden change, but what might be the ultimate effects, are all necessary, to form that sort of judgment proper for the basis of action. That those immediately concerned with the affairs of India have examined the subject with great care and to good purpose, is abundantly evident from the correspondence, speeches, and pamphlets, already before the public; fraught as they are with many important facts, much acute observation, and for the most part dictated by a desire to come, if possible, to the best conclusion, all this is evident, yet it strikes me that something useful remains behind.

Were the question simply between *Government* and *the Company*, I should not descant upon it; aware as I am that it has been canvassed by the parties on every ground and in every shape; but there is a *third* party who has interfered. The *merchants at large* all over the kingdom, the *shippers at the out-ports*, and the manufacturers in the interior, all urged on by what is termed the *public voice*, crying out *A Free Trade* and *No Monopoly*.

The trading towns, cities, and manufacturers do not pretend to have considered the subject minutely; therefore, for aught they know to the contrary, they are acting honestly and right; I will therefore address them with that open frankness which such conduct deserves, and which may lead to a conclusion very different from what was aimed at in the last Session of Parliament.

For the sake of perspicuity I shall consider the subject under different heads.

- I. All monopolies are not wrong or injurious, as in some cases, we are the best and cheapest served by a monopoly; this proved, it follows that the India Company being possessed of a monopoly, does not of itself argue that it should be withdrawn.
- II. That the trade with India is far from being carried on, on the principle of monopoly.

- III. That any great change must be attended with great danger, consequently we must not follow theory too readily, but pay great respect to practice and experience.
- IV. That the public at large have no reason to complain of the India Company, as the articles brought by it^[9] have not increased in price in proportion either to rums or sugars from the West Indies, where there is no monopoly.
- V. That the merchants of Liverpool, Hull, &c. and the manufacturers in their endeavours to share the trade with London, are seeking what would be injurious to them.
- VI. That some errors were fallen into in the present Charter, which may be advantageously corrected in the next, and a few slight amendments may be attempted with safety, but no great change or innovation.

I. *All monopolies are not wrong or injurious, as in some cases, we are the best and cheapest served by a monopoly, this once proved, it follows that the India Company being possessed of a monopoly, does not of itself argue that it should be withdrawn.*

The manner in which the public can be the best and cheapest supplied with an article, is in itself the *best*, whether it be by a monopoly or not. This is conceded even by Adam Smith, that great enemy to monopolies; and he adduces in proof *the Post Office*, which is *one of the strictest and most complete monopolies in existence*, yet the business is done remarkably cheap and well, and with a degree of security not otherwise attainable. It is infinitely more correct than the carriage of small parcels, which is by open competition, and all circumstances considered much cheaper.

The Bank of England is partly a monopoly, but by no means a complete one, and it is better regulated and does business better than private banks that issue notes, and which are so far its rivals.

Most of the concerns which have been brought to maturity in this country have first flourished as *monopolies* under the name of patents, and indeed there are many reasons for highly praising those temporary monopolies. [\[C\]](#)

The insurance companies are not exactly monopolies, neither are they free traders in the true acceptation of the term, jointly or separately taking insurances without legislative interference; and, without such companies, it would be impracticable to carry on insurance so well as it is done.

Navigations and water-works companies are monopolies in *principle*, but they are necessary and advantageous.

From all these examples it follows, that *monopoly* is not bad *merely* as *monopoly*, and that its being *injurious* depends on particular circumstances, and therefore the India Company being a company of monopolists, would not be a sufficient reason for its abolition, even were it proved to be so, but this has not yet been done.

II. *That the Trade with India is far from being carried on, upon the principle of monopoly.*

From the first discovery of India, and the most ancient and authentic records in existence, we learn that the trade to the East, which produces whatever is most brilliant to the eye, most delicious to the taste, or agreeable to the smell, has been the envy of nations. To share in them, Solomon built Tadmor in the desert, (the Hebrew name, in Greek, Palmyra); for this Alexander the Great destroyed Tyre, built Alexandria and invaded India; for this trade Venice, Genoa, and Constantinople contended above eight hundred years, when the discovery of a passage by the Cape of Good Hope, wrested that commerce from the ancient competitors, and the Dutch and Portuguese became the successors of those inland merchants, who partly by caravans and partly by navigation, had supplied Europe with the

silks, the pearls, the perfumes, and the precious stones of Asia from the earliest ages.

At so great a distance every power that traded found it necessary to have an establishment. The Inhabitants have not laws sufficient to protect the merchant, such as are necessary to a flourishing state of commerce; hence arose settlements and conquests, of the moral justice of which, I have nothing to say in this place; but being established, in order to maintain them, it was necessary to have revenues, and to continue certain privileges to the first traders, in order that they might act as a body, and supply from the general stock what was for the general advantage.

The great body of the public are perhaps not aware that so far from ever intending to make a monopoly of the trade to India, there were in fact *two* companies *at one time*, and that experience proved it was necessary to unite them into one, since which period, the public, as well as the servants of the company have always been permitted to participate on certain conditions. [\[D\]](#)

The above is a very brief, but true history of the trade to India; now we will consider its present state as a *supposed monopoly*. As to the trade to China in tea, and to certain other articles, and also to ships there is monopoly, but if the trade to China were open to all the irregularities of common trading vessels, we should be excluded from it entirely in six months. The utmost circumspection and delicacy being necessary in trading with that country, besides which, the commerce demands such a large extent of capital and produces so little profit, that it would not answer the purpose of individual merchants.

It is however sufficient for this article to say, that the company carry out and bring home a great variety of articles, at a fixed, and indeed at a very low rate of freight, such as no individual would do, or ever attempted to do. That if any manufacturer or merchant can find out an article that will sell in India, the company so far from preventing his doing so, afford him facilities not otherwise attainable. No mistake can in fact be greater than to say, with the uninformed and misled public, that the East India Company is a monopoly, and injures trade by preventing our merchants and manufacturers from having a scope for their capital and industry. Thus then

the clamour raised last year, in favour of what is called a free trade, is entirely founded in error, but even were it not so, we may fairly enquire.

III. *Whether any great Change would not be attended with great Danger? If so we must not follow theory too readily, but pay great respect to practice and experience.*

The trade to India, in its present state, produces a great influx of wealth to the country, though but a very moderate average profit to the Proprietors as a trading company. We must, therefore, risk this, if we consider that the French had an East India Company in 1789, and that by way of being liberal and free, they did what an inconsiderate public want us to do. They abolished the company, and let every one do as he pleased, when the trade vanished like a dream. L'Orient, the seat of French East India trade, fell, and no one rose in its place, neither towns nor individuals, and the trade with India became extinct in France. I will admit that such would not be precisely the case here, still we ought to keep such an example in our minds to warn us against the dangers of innovation; besides it is sufficient that our *present state* is good, for that is a sufficient reason to prevent our risking it by too sudden a change. If we follow experience slowly, we may perhaps make things better, and perhaps not; but at all events the error will be small and may be repaired, we can come back to the point we left. Whereas if we throw open the trade, or extend it even to a limited number of out-ports, we may find it impossible to retrieve the error, supposing it should turn out to be one. Softly and sure is a maxim which could never be better applied than in the present instance; and if a thousand sheets were to be written upon the expediency of the measure, after what has happened in France, it is quite evident that to the same conclusion we must come.

[16]IV. *That the public at large have no reason to complain of the India Company, as the articles brought by it have not increased in price in proportion to either Rums or Sugars from the West Indies, where there is no monopoly.*

A single instance must convince the most sceptical. The East India Company carry British manufactures out to India at about 40s. per ton—a distance of seven thousand miles—a rate cheaper than the carriage for five hundred miles in any other direction; therefore our manufacturers have a good chance of selling their goods, owing to their not being greatly enhanced by freight, and the servants of the Company are allowed to traffic, so that every article adapted for the India market can find its way there without difficulty, though the Company itself may not enter into such details.

Those who wish to send goods to India are therefore highly indebted to the Company; and as to the imports I will ask the public only one simple question: Have East India commodities risen in price, notwithstanding the heavy duties and increased expences of ship-building, and every article relating thereto, so much as West India produce?

It is not necessary to dwell on this point; it is an evident fact that the East India goods are far cheaper than they would be if brought over by individual merchants, and the supply is more regular. If sales are slow the Company keeps its goods at its own loss, with admirable good nature, or at least with admirable *sang froid*, and it never creates an artificial scarcity to enhance the price. The sales are by fair competition and without favour; what would the public wish or desire more? We come now to the next point.

V. *That the merchants of Liverpool, Hull, &c. and the manufacturers, in their endeavour to share the trade with London, are asking what would be injurious to themselves.*

Having already shewn the danger of any great change, let us consider the probability of advantage. When goods are shipped for such a remote market, it is essentially necessary, previously to ascertain, that they are wanted. Now when the exports are confined to one company, from its accurate knowledge of trade, it can proportion the quantities of the articles to the general demand for each; but if there are 500 merchants, entirely ignorant of what each other are doing; or what is worse, deceiving each other, in order to insure a better market for their own shipment, they will necessarily send too much of some articles and not enough of others; hence

many will be ruined, for they cannot carry their cargoes from port to port as in Europe or America: if the market is over-stocked at the port they are bound to, there is no alternative, but sacrificing the cargo for what it will fetch, or leaving it on hand to await the chance of a future sale. On the return of the vessel, here the merchant awakes from his golden dream, and finds himself on the verge of bankruptcy, for the utmost limit of credit has expired—He is ruined!

As to our manufactures it is not probable that more would be consumed than at present, for as we have already observed, the officers in the Company's service carry out goods of all descriptions, and enter into competition with each other, and that whatever can be sold they can and do take out^[E]; however if this reasoning be not satisfactory, there is a very easy way of extending that species of traffic without any danger.

At present none of our manufacturers lose by bad debts with India; were the trade laid open, it would undoubtedly be worse than at Buenos Ayres, when one call from Sir Home Popham took out from three to four millions of British capital, (as a boatswain whistles his crew on deck,) to the great loss and disappointment of some, and the absolute ruin of many more. Now should the consumption of our goods not be increased; opening the trade would manifestly injure all embarking in it; for the freight and insurance could not be lower, but would be considerably higher than at present.

As to a few individual towns asserting a claim to participate in the commerce of India, it is a very singular and novel kind of claim: if I apprehend aright, the nature of things attaches particular advantages to particular places; I mean privileges which are *naturally* local.

The court, for example, is held at London, which brings a great influx of wealth to the metropolis. On this principle Edinburgh might put in a claim to have the court some part of the year, and such claim might be followed up by similar ones from the *keel-men* of Newcastle, the locksmiths of Walsal, and the tinmen of Cornwall. The thing is really too ridiculous to think seriously upon. Some advantages are not only local, but indivisible, and there is no injustice arising therefrom, though with a little sophistry in certain cases it may be made to appear injustice when it is really not so, which is the case in the present instance, for it is in the revenue that the

nation is a gainer by the East India Company, and that must suffer considerably in the collection; besides, all the docks, warehouses, and other establishments made here, on the faith of the trade remaining as it is, must come into the question.

If trade must be dispersed equally over a country, like spreading manure on a field, it would be different; but there is an absurdity in the very idea of spreading it equally, and justice has absolutely nothing to do with the question; it is entirely a matter of policy and expediency.

VI. That some errors were fallen into in the present charter, which may be advantageously corrected in the next; and a few slight amendments may be attempted with safety, but no great change or innovation.

Making the dividends fixed, and independent of loss or gain, is wrong and absurd. No effort can increase the dividend, no extravagance or negligence can lessen it, and it cannot be concealed, that from such a state of things it necessarily arises that patronage is the only bonus on India stock. There is some connection either with ship-builders, sail-makers, or the furnishers of stores, officers, secretaries, clerks, or appointments abroad.

It is true the connection is circuitous, and the patronage difficult to trace, but the fact resolves itself to this, that however it may be divided amongst them, the whole of the patronage of places and profits, at home and abroad, civil and military, is vested in the Directors and Proprietors, and that patronage is of an amazing amount and extent.

In this enquiry I have endeavoured at impartiality, I write not to serve the East India Company, but the country itself—Ministers want the East India patronage, it was for this, Charles Fox made his celebrated struggle; it is this golden prize that makes the present ministers hazard every thing to obtain; it is not the flimsy net-work mask of freedom of[22] trade, the very worst pretext they could have found, IT IS THE PATRONAGE OF INDIA they fight for, and to obtain which, would break down every barrier,

destroy every establishment, and trample on every right.—*Let those then who already think the influence of the Crown too great beware how they throw into the scale* THE PATRONAGE OF INDIA. Freedom of trade is like the Trojan horse, from it will issue what will destroy the freedom of the country.—There are many other errors in the arrangements of the Company, but they are minor ones and not worth detailing here. The grand question to be decided is, the opening of the trade, which I have already treated.

In conclusion then, MONOPOLY IS NOT ALWAYS INJURIOUS.—THE EAST INDIA COMPANY DOES NOT POSSESS A MONOPOLY.—GREAT CHANGES will be ATTENDED WITH GREAT DANGER. *The public has no reason to complain, nor the merchants any right to arrogate to themselves claims which do not exist.* There would be great risk and no advantage in sharing the trade with the out-ports; and lastly, that the faults in the present system are entirely of a different nature, and may be easily and safely amended.

FINIS.

Glendinning, Printer, Hatton Garden, London.

FOOTNOTES:

[A] My friend does not seem to be aware that Buonaparte has generalized the principle; nearly all the tradesmen in Paris being compelled to purchase those

maitrices. The principle is in some degree known and acted upon in England, as in the case of bankers, wine-merchants, &c. &c. &c. and the *limited* principle in the case of licences of public houses, &c.

[B] It would be a curious piece of history to enumerate the instances in which such watch-words have been used, by whom, for what purposes, and what were the results arising therefrom in each case.

[C] Lloyd's Coffee-House is in fact a monopoly, self created, and of a new species, a sort of *republican company*, resembling in some things, what are termed regulated companies, in contradiction to the joint stock companies, with this difference however, that the present members may exclude whom they please which is a monopoly principle.

[D] The public does not, perhaps, know also, that Oliver Cromwell in levelling times, abolished the charter, but that like the *House of Peers*, which was also abolished, it was obliged to be restored. The present attempt, is in fact, a small attack of liberty and equality, that epidemical disease that raged in England at the time of the great rebellion, and in France at the beginning of the revolution. Destruction or a strait waistcoat must be the consequence of such a disease.

[E] Besides, the Portuguese, Spaniards, Dutch, French, and English settlers in the interior have explored the country, and tried what extension they could give to the trade, so that the British merchants, who proceed on the idea that they will make discoveries, and form new connections, labour under a total mistake.

TRANSCRIBER'S NOTES:

Inconsistencies in spelling and hyphenation have been retained from the original.

Obvious typographical errors have been corrected as follows:

Page 3: copously changed to copiously

Page 12: desart changed to desert

Page 20: advantageously changed to advantageously

*** END OF THE PROJECT GUTENBERG EBOOK FREE TRADE
WITH INDIA ***

Updated editions will replace the previous one—the old editions will be renamed.

Creating the works from print editions not protected by U.S. copyright law means that no one owns a United States copyright in these works, so the Foundation (and you!) can copy and distribute it in the United States without permission and without paying copyright royalties. Special rules, set forth in the General Terms of Use part of this license, apply to copying and distributing Project Gutenberg™ electronic works to protect the PROJECT GUTENBERG™ concept and trademark. Project Gutenberg is a registered trademark, and may not be used if you charge for an eBook, except by following the terms of the trademark license, including paying royalties for use of the Project Gutenberg trademark. If you do not charge anything for copies of this eBook, complying with the trademark license is very easy. You may use this eBook for nearly any purpose such as creation of derivative works, reports, performances and research. Project Gutenberg eBooks may be modified and printed and given away—you may do practically ANYTHING in the United States with eBooks not protected by U.S. copyright law. Redistribution is subject to the trademark license, especially commercial redistribution.

START: FULL LICENSE

THE FULL PROJECT GUTENBERG™ LICENSE

PLEASE READ THIS BEFORE YOU DISTRIBUTE OR USE THIS WORK

To protect the Project Gutenberg™ mission of promoting the free distribution of electronic works, by using or distributing this work (or any other work associated in any way with the phrase “Project Gutenberg”), you agree to comply with all the terms of the Full Project Gutenberg License available with this file or online at www.gutenberg.org/license.

Section 1. General Terms of Use and Redistributing Project Gutenberg electronic works

1.A. By reading or using any part of this Project Gutenberg electronic work, you indicate that you have read, understand, agree to and accept all the terms of this license and intellectual property (trademark/copyright) agreement. If you do not agree to abide by all the terms of this agreement, you must cease using and return or destroy all copies of Project Gutenberg electronic works in your possession. If you paid a fee for obtaining a copy of or access to a Project Gutenberg electronic work and you do not agree to be bound by the terms of this agreement, you may obtain a refund from the person or entity to whom you paid the fee as set forth in paragraph 1.E.8.

1.B. “Project Gutenberg” is a registered trademark. It may only be used on or associated in any way with an electronic work by people who agree to be bound by the terms of this agreement. There are a few things that you can do with most Project Gutenberg electronic works even without complying with the full terms of this agreement. See paragraph 1.C below. There are a lot of things you can do with Project Gutenberg electronic works if you follow the terms of this agreement and help preserve free future access to Project Gutenberg electronic works. See paragraph 1.E below.

1.C. The Project Gutenberg Literary Archive Foundation (“the Foundation” or PGLAF), owns a compilation copyright in the collection of Project Gutenberg electronic works. Nearly all the individual works in the collection are in the public domain in the United States. If an individual work is unprotected by copyright law in the United States and you are

located in the United States, we do not claim a right to prevent you from copying, distributing, performing, displaying or creating derivative works based on the work as long as all references to Project Gutenberg are removed. Of course, we hope that you will support the Project Gutenberg mission of promoting free access to electronic works by freely sharing Project Gutenberg works in compliance with the terms of this agreement for keeping the Project Gutenberg name associated with the work. You can easily comply with the terms of this agreement by keeping this work in the same format with its attached full Project Gutenberg License when you share it without charge with others.

1.D. The copyright laws of the place where you are located also govern what you can do with this work. Copyright laws in most countries are in a constant state of change. If you are outside the United States, check the laws of your country in addition to the terms of this agreement before downloading, copying, displaying, performing, distributing or creating derivative works based on this work or any other Project Gutenberg work. The Foundation makes no representations concerning the copyright status of any work in any country other than the United States.

1.E. Unless you have removed all references to Project Gutenberg:

1.E.1. The following sentence, with active links to, or other immediate access to, the full Project Gutenberg License must appear prominently whenever any copy of a Project Gutenberg work (any work on which the phrase “Project Gutenberg” appears, or with which the phrase “Project Gutenberg” is associated) is accessed, displayed, performed, viewed, copied or distributed:

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg™ License included with this eBook or online at www.gutenberg.org. If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

1.E.2. If an individual Project Gutenberg electronic work is derived from texts not protected by U.S. copyright law (does not contain a notice indicating that it is posted with permission of the copyright holder), the work can be copied and distributed to anyone in the United States without paying any fees or charges. If you are redistributing or providing access to a work with the phrase “Project Gutenberg” associated with or appearing on the work, you must comply either with the requirements of paragraphs 1.E.1 through 1.E.7 or obtain permission for the use of the work and the Project Gutenberg trademark as set forth in paragraphs 1.E.8 or 1.E.9.

1.E.3. If an individual Project Gutenberg electronic work is posted with the permission of the copyright holder, your use and distribution must comply with both paragraphs 1.E.1 through 1.E.7 and any additional terms imposed by the copyright holder. Additional terms will be linked to the Project Gutenberg License for all works posted with the permission of the copyright holder found at the beginning of this work.

1.E.4. Do not unlink or detach or remove the full Project Gutenberg License terms from this work, or any files containing a part of this work or any other work associated with Project Gutenberg.

1.E.5. Do not copy, display, perform, distribute or redistribute this electronic work, or any part of this electronic work, without prominently displaying the sentence set forth in paragraph 1.E.1 with active links or immediate access to the full terms of the Project Gutenberg License.

1.E.6. You may convert to and distribute this work in any binary, compressed, marked up, nonproprietary or proprietary form, including any word processing or hypertext form. However, if you provide access to or distribute copies of a Project Gutenberg work in a format other than “Plain Vanilla ASCII” or other format used in the official version posted on the official Project Gutenberg website (www.gutenberg.org), you must, at no additional cost, fee or expense to the user, provide a copy, a means of exporting a copy, or a means of obtaining a copy upon request, of the work in its original “Plain Vanilla ASCII” or other form. Any alternate format must include the full Project Gutenberg License as specified in paragraph 1.E.1.

1.E.7. Do not charge a fee for access to, viewing, displaying, performing, copying or distributing any Project Gutenberg works unless you comply with paragraph 1.E.8 or 1.E.9.

1.E.8. You may charge a reasonable fee for copies of or providing access to or distributing Project Gutenberg electronic works provided that:

- You pay a royalty fee of 20% of the gross profits you derive from the use of Project Gutenberg works calculated using the method you already use to calculate your applicable taxes. The fee is owed to the owner of the Project Gutenberg trademark, but he has agreed to donate royalties under this paragraph to the Project Gutenberg Literary Archive Foundation. Royalty payments must be paid within 60 days following each date on which you prepare (or are legally required to prepare) your periodic tax returns. Royalty payments should be clearly marked as such and sent to the Project Gutenberg Literary Archive Foundation at the address specified in Section 4, "Information about donations to the Project Gutenberg Literary Archive Foundation."
- You provide a full refund of any money paid by a user who notifies you in writing (or by e-mail) within 30 days of receipt that s/he does not agree to the terms of the full Project Gutenberg™ License. You must require such a user to return or destroy all copies of the works possessed in a physical medium and discontinue all use of and all access to other copies of Project Gutenberg™ works.
- You provide, in accordance with paragraph 1.F.3, a full refund of any money paid for a work or a replacement copy, if a defect in the electronic work is discovered and reported to you within 90 days of receipt of the work.
- You comply with all other terms of this agreement for free distribution of Project Gutenberg™ works.

1.E.9. If you wish to charge a fee or distribute a Project Gutenberg™ electronic work or group of works on different terms than are set forth in this agreement, you must obtain permission in writing from the Project Gutenberg Literary Archive Foundation, the manager of the Project

Gutenberg™ trademark. Contact the Foundation as set forth in Section 3 below.

1.F.

1.F.1. Project Gutenberg volunteers and employees expend considerable effort to identify, do copyright research on, transcribe and proofread works not protected by U.S. copyright law in creating the Project Gutenberg™ collection. Despite these efforts, Project Gutenberg™ electronic works, and the medium on which they may be stored, may contain “Defects,” such as, but not limited to, incomplete, inaccurate or corrupt data, transcription errors, a copyright or other intellectual property infringement, a defective or damaged disk or other medium, a computer virus, or computer codes that damage or cannot be read by your equipment.

1.F.2. LIMITED WARRANTY, DISCLAIMER OF DAMAGES - Except for the “Right of Replacement or Refund” described in paragraph 1.F.3, the Project Gutenberg Literary Archive Foundation, the owner of the Project Gutenberg™ trademark, and any other party distributing a Project Gutenberg™ electronic work under this agreement, disclaim all liability to you for damages, costs and expenses, including legal fees. YOU AGREE THAT YOU HAVE NO REMEDIES FOR NEGLIGENCE, STRICT LIABILITY, BREACH OF WARRANTY OR BREACH OF CONTRACT EXCEPT THOSE PROVIDED IN PARAGRAPH 1.F.3. YOU AGREE THAT THE FOUNDATION, THE TRADEMARK OWNER, AND ANY DISTRIBUTOR UNDER THIS AGREEMENT WILL NOT BE LIABLE TO YOU FOR ACTUAL, DIRECT, INDIRECT, CONSEQUENTIAL, PUNITIVE OR INCIDENTAL DAMAGES EVEN IF YOU GIVE NOTICE OF THE POSSIBILITY OF SUCH DAMAGE.

1.F.3. LIMITED RIGHT OF REPLACEMENT OR REFUND - If you discover a defect in this electronic work within 90 days of receiving it, you can receive a refund of the money (if any) you paid for it by sending a written explanation to the person you received the work from. If you received the work on a physical medium, you must return the medium with your written explanation. The person or entity that provided you with the defective work may elect to provide a replacement copy in lieu of a refund. If you received the work electronically, the person or entity providing it to

you may choose to give you a second opportunity to receive the work electronically in lieu of a refund. If the second copy is also defective, you may demand a refund in writing without further opportunities to fix the problem.

1.F.4. Except for the limited right of replacement or refund set forth in paragraph 1.F.3, this work is provided to you 'AS-IS', WITH NO OTHER WARRANTIES OF ANY KIND, EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO WARRANTIES OF MERCHANTABILITY OR FITNESS FOR ANY PURPOSE.

1.F.5. Some states do not allow disclaimers of certain implied warranties or the exclusion or limitation of certain types of damages. If any disclaimer or limitation set forth in this agreement violates the law of the state applicable to this agreement, the agreement shall be interpreted to make the maximum disclaimer or limitation permitted by the applicable state law. The invalidity or unenforceability of any provision of this agreement shall not void the remaining provisions.

1.F.6. INDEMNITY - You agree to indemnify and hold the Foundation, the trademark owner, any agent or employee of the Foundation, anyone providing copies of Project Gutenberg™ electronic works in accordance with this agreement, and any volunteers associated with the production, promotion and distribution of Project Gutenberg™ electronic works, harmless from all liability, costs and expenses, including legal fees, that arise directly or indirectly from any of the following which you do or cause to occur: (a) distribution of this or any Project Gutenberg work, (b) alteration, modification, or additions or deletions to any Project Gutenberg work, and (c) any Defect you cause.

Section 2. Information about the Mission of Project Gutenberg

Project Gutenberg is synonymous with the free distribution of electronic works in formats readable by the widest variety of computers including obsolete, old, middle-aged and new computers. It exists because of the

efforts of hundreds of volunteers and donations from people in all walks of life.

Volunteers and financial support to provide volunteers with the assistance they need are critical to reaching Project Gutenberg's goals and ensuring that the Project Gutenberg collection will remain freely available for generations to come. In 2001, the Project Gutenberg Literary Archive Foundation was created to provide a secure and permanent future for Project Gutenberg and future generations. To learn more about the Project Gutenberg Literary Archive Foundation and how your efforts and donations can help, see Sections 3 and 4 and the Foundation information page at www.gutenberg.org.

Section 3. Information about the Project Gutenberg Literary Archive Foundation

The Project Gutenberg Literary Archive Foundation is a non-profit 501(c)(3) educational corporation organized under the laws of the state of Mississippi and granted tax exempt status by the Internal Revenue Service. The Foundation's EIN or federal tax identification number is 64-6221541. Contributions to the Project Gutenberg Literary Archive Foundation are tax deductible to the full extent permitted by U.S. federal laws and your state's laws.

The Foundation's business office is located at 41 Watchung Plaza #516, Montclair NJ 07042, USA, +1 (862) 621-9288. Email contact links and up to date contact information can be found at the Foundation's website and official page at www.gutenberg.org/contact

Section 4. Information about Donations to the Project Gutenberg Literary Archive Foundation

Project Gutenberg™ depends upon and cannot survive without widespread public support and donations to carry out its mission of increasing the number of public domain and licensed works that can be freely distributed in machine-readable form accessible by the widest array of equipment

including outdated equipment. Many small donations (\$1 to \$5,000) are particularly important to maintaining tax exempt status with the IRS.

The Foundation is committed to complying with the laws regulating charities and charitable donations in all 50 states of the United States. Compliance requirements are not uniform and it takes a considerable effort, much paperwork and many fees to meet and keep up with these requirements. We do not solicit donations in locations where we have not received written confirmation of compliance. To SEND DONATIONS or determine the status of compliance for any particular state visit www.gutenberg.org/donate.

While we cannot and do not solicit contributions from states where we have not met the solicitation requirements, we know of no prohibition against accepting unsolicited donations from donors in such states who approach us with offers to donate.

International donations are gratefully accepted, but we cannot make any statements concerning tax treatment of donations received from outside the United States. U.S. laws alone swamp our small staff.

Please check the Project Gutenberg web pages for current donation methods and addresses. Donations are accepted in a number of other ways including checks, online payments and credit card donations. To donate, please visit: www.gutenberg.org/donate.

Section 5. General Information About Project Gutenberg electronic works

Professor Michael S. Hart was the originator of the Project Gutenberg concept of a library of electronic works that could be freely shared with anyone. For forty years, he produced and distributed Project Gutenberg eBooks with only a loose network of volunteer support.

Project Gutenberg eBooks are often created from several printed editions, all of which are confirmed as not protected by copyright in the U.S. unless a

copyright notice is included. Thus, we do not necessarily keep eBooks in compliance with any particular paper edition.

Most people start at our website which has the main PG search facility:
www.gutenberg.org.

This website includes information about Project Gutenberg, including how to make donations to the Project Gutenberg Literary Archive Foundation, how to help produce our new eBooks, and how to subscribe to our email newsletter to hear about new eBooks.